

Euro area: identification changes the answer

Hakan Zeki Gulmez | G3 research brief | 7 October 2026

Euro area vs Türkiye

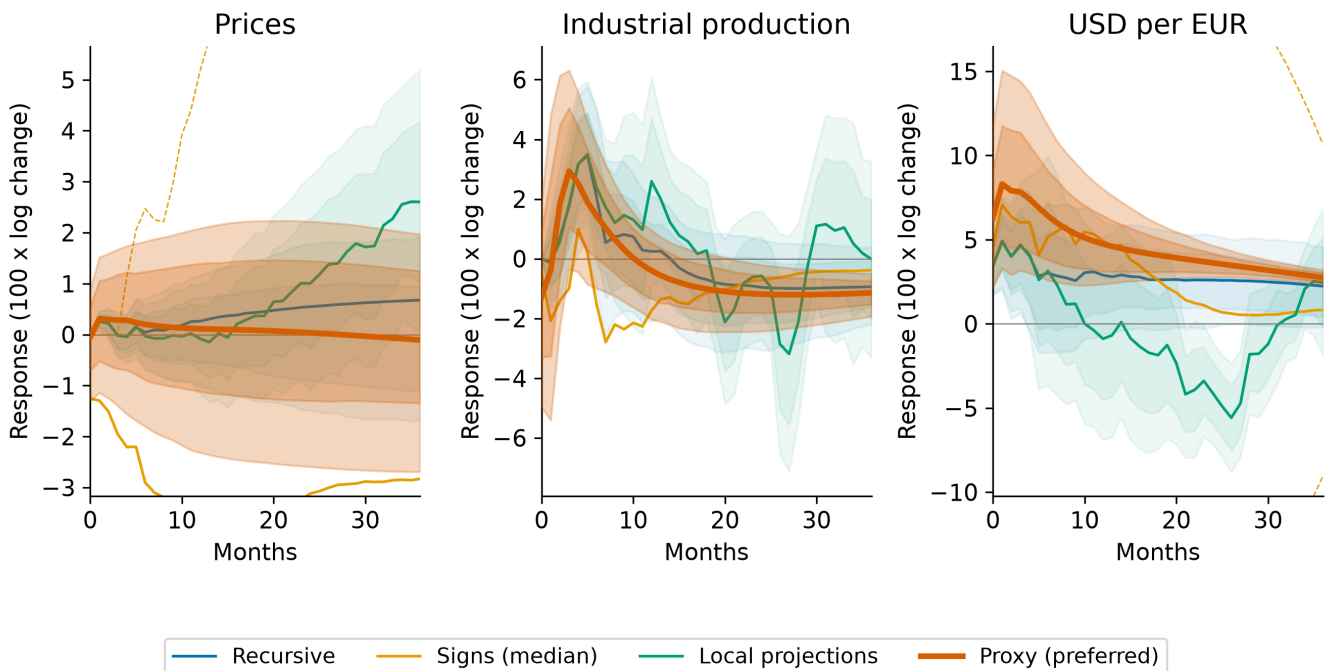
Question

How much does the euro area's response to a rate increase depend on how the policy shock is identified?

Method

We compare four ways of isolating a 100-basis-point tightening in monthly euro-area data. We trace prices, industrial production and the exchange rate over 36 months, with uncertainty shown. We prefer the event-window proxy when its strength gate passes and retain the original Türkiye comparisons.

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100 bp tightening; darker proxy 68/90% bands. Dashed sign ranges are not confidence bands and may lie outside the view. Y-limits use non-sign estimates/90% bands. Proxy ends 2025-10; others 2026-07. ECB/Eurostat/CBRT/FRED; author calculations.

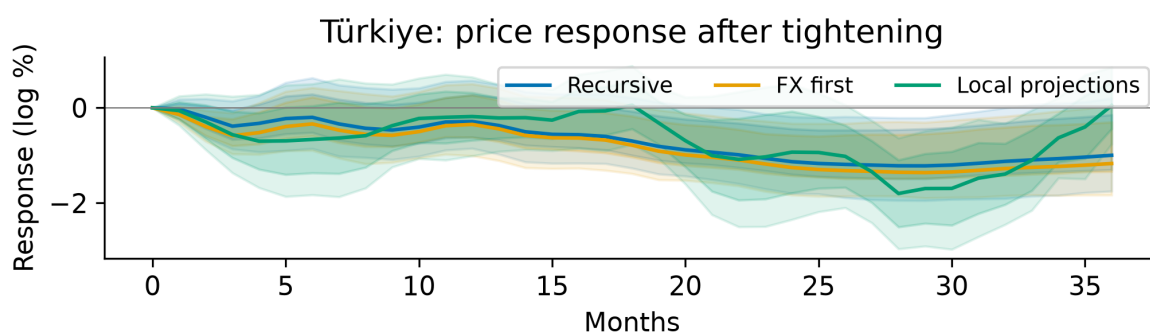
Sources: ECB/Eurostat/CBRT-TURKSTAT; Federal Reserve/EIA/CBOE via FRED. Author calculations; tables results/g3_irfs.csv and g3_summary.json.

Three findings for the decision-maker

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1. The exchange-rate channel is clear: a year after tightening, the euro is 4.744% stronger in the preferred proxy estimate, and its uncertainty interval stays above zero.
2. The price response is not pinned down: estimates change sign across identification methods, while the proxy estimate of 0.113% has an uncertainty interval that includes zero.
3. Türkiye's price estimates are negative across the comparison methods but imprecise; the recursive estimate a year after tightening is -0.288%.



100 bp tightening; 68/90% pointwise bands. CBRT-TURKSTAT/FRED; author calculations.

Limitations

- Proxy strength does not establish instrument validity.
- Proxy sample and lag differ from the other EA estimates.
- Sign ranges are not confidence intervals.
- Near-unit-root estimates make uncertainty fragile.
- Latest-vintage data do not reconstruct real-time information.

Detailed assumptions, diagnostics and source lineage: README Technical notes and report/report.md.